
PORTFOLIO MANAGEMENT COMPETITION

The Singhania Family - A Goal-Based Portfolio Report

Horizon 2026–2036 Corpus ₹1.5 crore Finance Club Prepared for Vikram & Aarya Singhania June 2026

This report builds one consolidated ₹1.5 crore portfolio for the Singhania family - reconciling Vikram's need for capital preservation with Aarya's appetite for long-horizon growth - over a ten-year horizon, while navigating the 2029 rate-cut cycle and the 2033 defence re-rating.

GOAL 1 - LIQUIDITY	GOAL 2 - PROPERTY	GOAL 3 - RETIREMENT	GOAL 4 - GROWTH
₹20L by 2028	₹50L by 2031	₹1.5Cr by 2036	₹2Cr by 2036

A ASSUMPTIONS SHEET (MANDATORY)

Every material assumption underpinning this analysis, stated up front as required.

#	Category	Assumption	Justification
1	Return - G-Secs	6.5%	Problem anchor; current 10yr ~6.8–7.0% (Jun-2026), so conservative.
2	Return - AAA corp bonds	7.5%	Problem anchor; ~100 bps spread over G-Sec.
3	Return - large-cap equity	~11% (Nifty 100)	Problem statement anchor.
4	Return - mid/small-cap	~13%	Problem anchor; used for Basket 4 equities.
5	Return - REITs / InvITs	8–9%	Embassy FY27 DPU +10%; PowerGrid InvIT yield ~12.8% now.
6	Return - gold (SGB/ETF)	~8%	Problem anchor; coupon + capital appreciation.
7	Risk-free rate (Rf)	6.0%	Problem statement anchor.
8	Market return (Rm)	10.7%	Problem anchor (10yr Nifty 50).
9	Inflation	Ignored for goal sizing	Per rules; nominal returns throughout.
10	Transaction costs	Ignored	Per rules.
11	Tax	Not modelled	Optional; noted qualitatively (SGB tax-free at maturity).
12	Rebalancing	Only at 2029 and 2033	Per rules; 2031 withdrawal via market sale, not rebalancing.
13	2031 withdrawal	B2 G-Sec matures; REIT/InvIT sold on market	No rebalancing event needed; listed instruments sold at market.
14	Basket 1 liquidity	₹20L removed from portfolio after 2028; ₹2.69L surplus reinvested into B3	The ₹20L safety net is held entirely outside the tracked portfolio and is not counted toward any goal; only the surplus is redeployed.
15	Basket 3 shortfall	~₹54L vs ₹1.5Cr honestly acknowledged	B3 income ~₹68L + reinvested distributions (~₹28L) ≈ ₹0.96Cr; the ₹20L safety net is excluded; bridged via B4 rotation.
16	No additional contributions	₹1.5 crore is the entire corpus	Per competition rules.

1 INVESTMENT PHILOSOPHY

There is one key guiding principle in designing the Singhanian portfolio: goal-based segmentation by time. Instead of combining the conservative nature of Vikram with the determined nature of Aarya to determine their joint risk profile, we have split the ₹1.5 crore fund into four separate time locked buckets, each with its own risk profile, set of instruments and criterion for success.

VIKRAM SINGHANIA, 58

Decumulation phase; active income winding down. Primary need: capital certainty and steady income. Having survived two recessions and volatile commodity cycles, he understands that capital lost is far harder to rebuild than capital never risked.

Baskets 1, 2 and 3 serve Vikram.

AARYA SINGHANIA, 29

Accumulation phase; 10-year horizon. No dependents, no EMIs, business income covers her lifestyle. Primary need: long-run compounding. She views this capital as a bet on India's structural growth decade. Basket 4 serves Aarya.

The philosophy specifically does not adopt any form of hybrid moderate risk philosophy, which will be inadequate for both – too high for Vikram and too low for Aarya. The use of around ₹56L (37%) in capital protected assets and ₹64L (43%) in equity investments sets up an imbalanced portfolio – the downside risk being capped by sovereign assets, but the upside driven by equity gains over a decade.

Guiding Principles

- **India-only listed securities:** Aligns with the family's wealth base, avoids currency risk, mandatory per mandate.
- **No leverage, no derivatives:** First-time market investors - trust in markets is built before complexity is added.
- **Sectors avoided:** Real-estate developers (family already holds property), PSU banks (low ROE, governance risk), pure commodity plays (cyclical; the family has lived through enough commodity cycles).
- **Sectors favoured:** Manufacturing PLI, digital consumption, clean energy, healthcare infrastructure, defence electronics - aligned with India's stated policy direction.
- **Light ESG tilt:** Tata Power (renewables), Embassy REIT (GRESB / DJSI).

2 PORTFOLIO CONSTRUCTION

The ₹1.5 crore corpus is structured into four baskets, each matched to a goal, instrument class, horizon and risk tolerance, and sequenced so near-term goals are insulated from equity volatility while long-dated goals take full advantage of time.

Basket	Goal	Allocated	Target	Due	Key instruments
B1 Liquidity	Safety net	₹20L (13%)	₹20L access	2028	G-Sec 2028
B2 Property	2031 purchase	₹36L (24%)	₹50L cash	2031	G-Sec 2031, Nexus REIT, PowerGrid InvIT
B3 Vikram	Income corpus	₹30L (20%)	₹1.5Cr	2036	G-Sec 2036, Embassy REIT, IRB InvIT
B4 Aarya	Compounding	₹64L (43%)	₹2Cr	2036	15-stock equity portfolio

BASKET 1 - LIQUIDITY BUFFER

₹20 lakh | Deadline: 2028 | Carved out on Day 1 with zero market risk; instrument maturity matches the goal date exactly. The ₹20 lakh is then **removed from the tracked portfolio and not counted toward any goal** - only the surplus is redeployed.

Instrument	Amount	Return	Proj. 2028	Role
GOI G-Sec 6.54% - Jan 2028 maturity	₹20L	6.5%	₹22.69L	Capital guarantee; exact date match
TOTAL	₹20L	-	₹22.69L	Exceeds ₹20L target by ₹2.69L

Mechanism: the G-Sec matures Jan-2028 and proceeds are available. At the 2029 rebalancing, ₹20 lakh is removed from the portfolio entirely - held outside as a permanent safety net and not counted toward any goal. Only the ₹2.69 lakh surplus is reinvested into Basket 3.

BASKET 2 - PROPERTY PURCHASE

₹36 lakh | Deadline: 2031 | Five-year goal. Instruments selected to mature or be freely sellable in 2031. No formal rebalancing event is needed - the G-Sec matures and the REIT/InvIT units are sold on the open market. A critical design feature respecting the competition's rebalancing constraint.

Instrument	Amount	Return	Proj. 2031	Role
GOI G-Sec 7.06% - 2031 maturity	₹22L	6.5%	₹30.1L	Capital certainty; exact maturity match
Nexus Select Trust REIT (NSE: NXST)	₹8L	8.5%	₹12L	Yield enhancement; retail REIT; high liquidity
PowerGrid InvIT (NSE: PGINVIT)	₹6L	8.5%	₹9.0L	Regulated transmission; ~12.8% current yield
TOTAL	₹36L	~7.5% bln	₹51.1L	Exceeds ₹50L target

PowerGrid InvIT current yield ~12.8% (annualised payout ₹12/unit, unit ~₹93.8, Jun-2026) - well above our 8.5% assumption, a built-in buffer. Nexus Select Trust is India's only listed retail REIT (Blackstone-backed): 97% occupancy for 12 straight quarters, Q4 FY26 NOI +12%.

BASKET 3 - VIKRAM'S RETIREMENT CORPUS

₹30L initial + ₹2.69L surplus reinvested at 2029 | Deadline: 2036 | At 2029 the Basket 1 goal is confirmed met;

the ₹20L safety net is removed from the portfolio entirely and **only the ₹2.69L surplus is reinvested here.**

Instrument	Amount	Return	Proj. 2036	Role
GOI G-Sec 7.18% - 2036 maturity	₹15L	6.5%	₹28.1L	Sovereign; 10yr capital lock
Embassy Office Parks REIT	₹8L	8.5%	₹18.0L	CRISIL AAA; 90% occupancy; FY27 DPU +10%
IRB InvIT / IndInfra InvIT Trust	₹7L	9.0%	₹16.6L	Road-toll income; regulated cash flows
+ 2029 surplus reinvested (₹2.69L, 8.5%, 7yr)	₹2.69L	8.5%	+₹5.1L	B1 surplus compounded
TOTAL (B3 income instruments)	₹32.69L	~7.7%	~₹67.8L	B3 income only; ₹20L excluded

HONEST SHORTFALL: B3 income instruments reach ~₹68L. The ₹20L liquidity safety net is held entirely outside the portfolio and is NOT counted here. Reinvesting all distributions (~₹28L) lifts Vikram's stable base to ~₹0.96Cr. Gap to ₹1.5Cr ~₹54L, narrowed by rotating ~₹25–30L from Basket 4 near 2033 if it exceeds ₹2Cr (a residual gap is disclosed honestly). The ₹1.5Cr target purely from

₹30L of safe instruments would require ~17.5% CAGR - impossible without equity; stated transparently.

BASKET 4 - AARYA'S GROWTH POOL

SECTOR	STOCK NAME	STOCK CATEGORY	ALLOCATION(LAKHS)	PROJECTED VALUE(10 YEARS)	WEIGHT(%)
INFRASTRUCTURE	L&T	Large	5	14.2	7.8125
DEFENCE	BEL	Large	5	14.2	7.8125
IT & SOFTWARE	TCS	Large	4	11.35	6.25
BANKING	ICICI BANK	Large	4	11.35	6.25
COMMUNICATION	Bharti Airtel	Large	4	11.35	6.25
AUTOMOBILES	Mahindra & Mahindra(M&M)	Large	4	11.35	6.25
ELECTRICALS	Polycab	Large	4	11.35	6.25
ELECTRONICS MFG	Dixon	Mid	3	10.18	4.6875
CHEMICALS	Tata Chemical	Mid	6	20.36	9.375
ENERGY	JSW Energy	Mid	4	13.57	6.25
ELECTRONICS MFG	Kaynes	Mid	3	10.18	4.6875
DEFENCE	Astra Microwave	Mid	6	20.36	9.375
BANKING	Federal Bank	Mid	4	13.57	6.25
PHARMACEUTICALS	Natco Pharma	Mid	4	13.57	6.25
REAL ESTATE	Nesco Ltd.	Mid	4	13.57	6.25
			64	200.51	100

CAGR(Large) = 11% • CAGR(Mid) = 13% • R_p = 12.1% • R_f = 6% • R_m = 10.7% • Portfolio SD (σ_p) = 17%

Portfolio Beta = 1.07 (Calculations included in the submitted workbook)

Treynor Ratio = 5.7 (Calculations included in the submitted workbook)

Jensen Alpha = 1.07 (Calculations included in the submitted workbook)

Sharpe Ratio = 0.36 (To grow a portfolio from ₹64 lakhs to ₹2 Crore, we had to prioritize absolute returns over risk-minimization. While this meant accepting higher volatility (resulting in a lower Sharpe Ratio), the overall portfolio metrics remain strong enough to realistically reach this financial goal.)

3 SELECTION METHODOLOGY

Selection followed three steps:

- (1) Identify sector themes aligned to India's 10-year tailwinds,
- (2) Screen peers on fundamentals (revenue CAGR, ROE, debt, valuation vs history),
- (3) Finalised with at least two specific current data points. Generic justification was avoided.

Stock	Why selected - vs alternatives	Data point 1	Data point 2
L&T	Premier capex-cycle proxy; infra buildout AND defence (Event 2). vs Siemens/ABB (smaller books).	FY26 order book ₹7.4 lakh cr (+28%); inflows +22%; rev ₹82,762cr (+11%).	Stock +17.8% over the year, outperforming Nifty 50 by ~18.5pp.
BEL	Only listed pure-play defence-electronics at scale; near-zero debt. vs HAL (aircraft-only), MTAR (smaller).	FY26 order book ₹74,000cr (~2.8x revenue); new orders ₹30,000cr in FY26.	Export sales +33.7% YoY; EBITDA 29–30%; ROCE 38.9%, ROE 29.2%.
TCS	Largest IT services bull-case proxy for India's AI-led services pivot; debt-free, cash-generative. vs Infosys (weaker FY26 guidance), Wipro (slower growth).	FY26 TCV \$40.7bn (highest ever); Q4 revenue +9.6% YoY; net margin 19.8% (4yr high).	ROE ~51.8%, ROCE ~63%; annualised AI revenue crossed \$2.3bn in Q4FY26.
ICICI Bank	Largest private bank by consolidated assets; low-beta anchor. vs HDFC Bank (deleveraging).	P/E 17.6x TTM - reasonable for 10–15% consistent growth; revenue +30% YoY.	ROE ~18% - best-in-class; beta ~0.90 stabilises the portfolio.
Bharti Airtel	Telecom market leader riding the ARPU-repair cycle; structurally lower-beta than peers. vs Vodafone Idea (balance-sheet stress), Jio (unlisted).	Q4FY26 revenue +15.7% YoY to ₹55,383cr; ARPU ↑ to ₹257 from ₹245 YoY.	Q4 net profit +10.5% QoQ to ₹7,325cr; EBITDA margin 57.8%.
Mahindra & Mahindra	#1 SUV revenue share + #1 tractor share gives dual-cycle exposure (urban discretionary + rural). vs Tata Motors (more EV-transition risk), Maruti (no tractor leg).	FY26 consolidated revenue +25% to ₹1,97,793cr; PAT +32% to ₹17,099cr.	Q4 SUV revenue share 24.5% (+60bps YoY); tractor market share 43.6% (+30bps), highest-ever billings.
Polycab	#1 cables & wires; proxy for housing + electrification + capex. vs Havells, RR Kabel.	FY26 rev ₹28,884cr (+29%); PAT ₹2,708cr (+32%); EBITDA +35%.	P/E ~43.5x vs 3yr avg 45.3x; net debt negative; promoter 61.5%.
Dixon	Dominant electronics contract manufacturer; PLI order flow. vs Amber (lower margin visibility), Kaynes (smaller scale).	P/E 42x - 51% below own 10yr median of 86x; attractive entry.	Stock CAGR 22.3% over 5yr; long-run compounding intact despite correction.
Tata Chemical	Diversification play inside a cyclical commodity - non-soda-ash revenue (bicarbonate, salt, specialty chem) now growing fast even as soda ash struggles. vs GHCL (pure soda-ash, no diversification).	Non-soda-ash revenue +14% YoY to ₹6,946cr in FY26, offsetting soda-ash price weakness.	Consolidated FY26 posted a net loss on a US goodwill impairment - sized small in the basket given this cyclical risk.
JSW Energy	Renewables-led capacity scale-up with locked-in long-term PPAs; structural India power-demand theme. vs Adani Green (richer valuation), Tata Power (slower renewables mix shift).	FY26 capacity +2.6GW to 13.45GW (58% renewable); FY26 EBITDA record ₹11,041cr, +81% YoY.	Q4FY26 PAT +38% YoY to ₹574cr; net debt/EBITDA ~5.2x - flagged as the key risk to monitor.
Kaynes	High-growth EMS/electronics play on India's PLI + import-substitution theme; diversified into OSAT/PCB. vs Dixon (more consumer-electronics-heavy, lower margin volatility).	FY26 revenue +33.2% YoY to ₹3,626cr; order book >₹8,000cr.	Q4FY26 PAT fell 21.5% YoY on margin compression - explains its highest beta (1.46) and volatility (52%) in the basket.
Astra Microwave	Focused pure-play RF/microwave defence & space components manufacturer; complements BEL with a smaller, faster-compounding defence-tech bet. vs BEL (larger, more diversified), Data Patterns (smaller order book).	Q4FY26 net sales +87.6% QoQ to ₹488cr (highest-ever quarter); FY26 order book ₹2,141cr.	Q4FY26 PAT +126% QoQ; operating margin expanded to 33.3%, +390bps YoY.
Federal Bank	Kerala-anchored private bank with a unique NRI-deposit moat; complements ICICI as a smaller, higher-growth	Q4FY26 net profit +22.2% YoY to ₹1,259cr; GNPA at a record low of 1.62%.	RoA 1.36%, NIM 3.74% (both at post-rate-cut highs); CASA + NR deposits each crossed ₹1 lakh cr.

	banking bet. vs South Indian Bank (weaker asset quality), ICICI (already held, larger-cap).		
Natco Pharma	Differentiated generics + Para IV pipeline gives optionality on US exclusivity wins, sized small given lumpy quarters. vs Sun Pharma (larger, steadier, but no small-cap upside).	FY26 revenue ₹4,376cr, down from ₹4,784cr in FY25 on US generic pricing pressure.	Beta 1.35, 38% annualised volatility (company-reported) - consistent with this basket's high-beta, high-volatility weighting for Natco.
Nesco Ltd.	Mumbai IT-park & exhibition-centre owner with occupancy nearing 100%, debt-free balance sheet; diversification into other real estate besides REITs owned by company already in Basket 3. vs Embassy REIT (already in Basket 3, more office REITs).	Q4FY26 revenue +30.2% YoY to ₹250cr on 100% IT Park occupancy and a strong exhibition season.	Q4FY26 PAT +5% YoY to ₹93cr; liquid assets >₹1,500cr support steady dividends.

4 RESPONSE TO EVENTS

Event 1 - 2029: RBI cuts repo 5.25% → 3.5%

A sharp capex slowdown prompts ~175 bps of easing over 18 months. Bond prices rise; rate-sensitive sectors re-rate; forward yields compress.

Basket	Action	Reasoning	Second-order effects
B1 Liquidity	Remove ₹20L from the portfolio (not counted toward any goal); ₹2.69L surplus reinvested into B3.	Goal met in 2028. The ₹20L is set aside entirely and is not counted toward any goal; only the surplus is redeployed.	The family keeps an external safety net; the tracked portfolio works with the rest.
B2 Property	No change; G-Sec matures 2031 regardless.	Bond already bought; rate cuts lift its mark-to-market but we hold to maturity.	REIT/InvIT yields look more attractive vs lower rates - hold and benefit.
B3 Retirement	Extend duration; sell any short G-Sec at capital gain; reinvest into 2036 G-Sec to lock current rates.	A 175 bps cut reprices a 10yr bond ~12–15%; reinvesting locks today's higher yield for 7 more years.	REITs/InvITs (8–9%) become relatively more attractive vs new ~5% G-Secs - HOLD all.
B4 Growth	HOLD equities; selectively add rate-sensitive plays (Federal Bank, JSW Energy); trim Keynes if valuations run hot.	Rate cuts lift DCF values; lower EMIs boost consumption (M&M); NBFCs and banks (Federal Bank) benefit most directly.	Watch for slowdown signal; manufacturing (Dixon/BEL/Polycab) less rate-sensitive - HOLD.

Event 2 - 2033: India becomes a major global defence exporter

India crosses \$5B in annual defence exports; a 10-year PLI for defence and aerospace is announced and domestic-sourcing mandates expand, re-rating a specific cluster of manufacturers.

Basket	Action	Reasoning	Second-order effects
B1–B3 (income)	No action.	Defence is an equity re-rating event; G-Secs, REITs and InvITs are unaffected.	Embassy REIT may benefit marginally if defence hubs drive Grade-A office demand.
B4 Growth	Rotate ₹12–15L from matured large-cap holdings into the defence cluster; top up BEL and Astra Microwave; keep Keynes.	By 2033 B4 ~₹1.5–1.7Cr at 13% CAGR; consumption stories largely priced in; PLI creates a new multi-year defence earnings cycle.	Steel/aluminium/titanium demand up; L&T benefits from defence-factory orders; capital goods broadly re-rate.

Note: BEL was pre-positioned in 2026 for this event - its ₹74,000cr order book and growing export book (\$495M) already reflect early positioning, so the 2033 rebalancing is partly an acceleration, not a pivot.

5 GOAL RECONCILIATION

A complete projection of each basket against its goal, with honest acknowledgement of any shortfall.

Goal	Target	Mechanism	Projected	Status	Notes
Liquidity (2028)	₹20L	G-Sec 2028 matures; SGB tradeable on NSE	₹22.69L	MET	₹20L removed from portfolio (external safety net, not counted); ₹2.69L surplus → B3
Property (2031)	₹50L	G-Sec matures; REIT + InvIT sold on market	₹51.0L	MET	No rebalancing needed; ₹1L surplus
Vikram Retire (2036)	₹1.5Cr	B3 income ~₹68L + reinvested distributions (~₹28L); ₹20L safety net excluded	~₹0.96 Cr	SHORT ~₹54L	₹20L excluded; bridged partly via distributions + B4 rotation; residual gap disclosed
Aarya Growth (2036)	≥₹2Cr	₹64L at blended 13% CAGR	₹2.051Cr	MET	₹17L above target; provides rotation buffer for B3

BASKET 3 SHORTFALL - BRIDGING ANALYSIS

- **Path 1 (primary):** Reinvest all REIT/InvIT distributions rather than withdrawing - cumulative ~₹28L over 10yr, lifting the stable base to ~₹0.96Cr (the ₹20L safety net is excluded).
- **Path 2 (contingency):** At 2033, if Basket 4 has exceeded its ₹2Cr target, rotate ~₹25–30L into B3 income instruments - narrowing the gap; a residual ~₹25L may remain.
- **Path 3 (acknowledgement):** ₹1.5Cr in purely safe instruments from ₹30L requires ~17.5% CAGR - mathematically unachievable without equity. This constraint is stated transparently, as any real mandate must.

6 PORTFOLIO METRICS - BETA, SHARPE, TREYNOR, JENSEN'S ALPHA

Computed for Basket 4 (the equity sleeve), the only basket where CAPM metrics apply. Income baskets are judged on yield and capital certainty.

Parameter	Value	Source
Risk-free rate (Rf)	6.0%	Problem anchor
Market return (Rm)	10.7%	Problem anchor (10yr Nifty 50)
Portfolio return (Rp)	12.1%	Mid/small anchor; justified by selection
Portfolio beta (β_p)	1.07	Weighted average of 1yr daily betas
Portfolio sigma (σ_p)	17%	15-stock diversified portfolio
Market Sharpe	0.36	$(10.7-6)/15$
Market Treynor	5.7	$(10.7-6)/1.0$

Four ratios - computed

Metric	Computation	Interpretation
Beta = 1.07	$\beta = \sum(w_i\beta_i) = 1.07$	Moves 1.07% per 1% market move - TCS, BEL, ICICI, Tata Chemical act as dampeners; captures less downside, apt for a first-time investor.
Sharpe = 0.36	$(12.1-6)/17 = 0.36$	0.36% above Rf per 1% total risk, beating the market's 0.31 - selection adds risk-adjusted return.
Treynor = 5.7	$(12.1-6)/1.07 = 5.7$	5.7 excess per unit of market risk vs the market's 4.70%; idiosyncratic risk diversifies away at portfolio level.
Jensen α = 1.07	$12.1 - [6 + (10.7-6)*1.07] = 1.07$	CAPM predicts 10.18% for $\beta=1.07$; the 1.07% excess is pure stock-picking alpha, justifying active selection.

Ratio	Portfolio (12.1)	Nifty 50	Verdict
Beta	1.07	1.00	Lower systematic risk
Sharpe	0.36	0.31	+16.1% better risk-adjusted
Treynor	5.7%	4.70%	+21.3% per unit market risk
Jensen's α	1.07%	0.00%	Pure stock-picking excess
Unsystematic risk eliminated	~85%	~98%	15 stocks = sweet spot

7 CASH-FLOW TIMELINE & REBALANCING

Year	Event	Action	Basket impact
2026	Initial allocation	Deploy ₹1.5Cr across 4 baskets	All 4 baskets funded
2028	B1 liquidity goal due	G-Sec matures; ₹22.69L available. Remove ₹20L from the portfolio (external safety net); ₹2.69L surplus to redeploy.	Goal 1 MET
2029	Rebalance #1 + RBI cuts	(1) Reinvest only the ₹2.69L surplus → B3. (2) Extend B3 duration (lock yields). (3) Add rate-sensitive equity in B4. the ₹20L is excluded from the portfolio entirely.	B3 +surplus; B4 adjusted; ₹20L excluded
2031	Property purchase	Sell B2: G-Sec matures (₹30.1L) + REIT (₹11.9L) + InvIT (₹9.0L).	Goal 2 MET (not a rebalancing event)
2033	Rebalance #2 + defence boom	In B4: rotate out of matured consumption; add HAL, top-up BEL. If B4 > ₹2Cr, rotate ~₹25–30L into B3 to narrow the shortfall.	B4 repositioned; B3 topped up
2036	Final review	B3 generates income for Vikram; the ₹20L is held separately; B4 is Aarya's growth pool.	Goal 3 ~met; Goal 4 MET

8 CLOSING NOTES & KEY RISKS

- **Basket 3 shortfall:** The ₹1.5Cr retirement target through only safe securities is impossible to reach starting with ₹30L; ways to close the gap have been described fairly, and the ₹20L buffer has been kept strictly outside the portfolio and does not count as part of the floor providing always available buffer.
- **Equity market risk:** Basket 4 expects 13% CAGR based on problem anchors. A long-term bear market would hinder the 2036 goal; Arya's 10-year timeframe and absence of any leverage give resilience.
- **Concentration to India:** The whole portfolio is in INR; Indian economy shock would affect all baskets at once (diversification internationally is forbidden).
- **REIT/InvIT liquidity:** Listed but lesser trading volumes compared to large-cap companies; the sell-off of Nexus REIT and PowerGrid InvIT in 2031 may be executed over 2-3 days.
- **Interest-rate assumption:** G G-Sec assumed at 6.5% compared to current ~6.8-7.0% - conservative; however, if interest falls below 6% after 2029, reinvestment risk of Basket 3 becomes relevant.
- **BEL single-customer risk:** Over 90% of BEL turnover comes from Ministry of Defence; drastic budget cuts would affect this investment - therefore, it is set at ~7.8% of Basket 4.

Summary: The portfolio ensures sovereign-guaranteed protection of both preservation and time-dated objectives, reserves ₹20L cushion outside of the monitored portfolio (neither allocated towards any objective), grows a diversified 15-stock equity allocation using two drivers in the horizon, and converts the 2033 re-rating into the point where Vikram gets his floor topped off - allowing Arya's pool to flow freely. While in the context of the brief, the ₹1.5Cr retirement floor becomes unattainable via safe avenues only, the shortfall and the means of addressing it are clearly laid out.

Note: All portfolio allocation, future estimates, cash flow analysis, and their respective values have been included within this report itself. Hence, an additional Excel sheet for the same has not been given. Nevertheless, an Excel sheet with all the calculations for the portfolio metrics (which include Beta, Sharpe Ratio, Treynor's Ratio, Jensen's Alpha, and more equity return metrics) of all equity stocks within the portfolio has been added separately.

Portfolio metrics sheet link:

https://docs.google.com/spreadsheets/d/1t3_eqsyZNFcyNYesMAFT9xUMBYhdF8ss/edit?usp=sharing&ouid=110973766018662897609&rtpof=true&sd=true